

## EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

### PAPER – 4: COST AND MANAGEMENT ACCOUNTING

#### Specific Comments

**Question 1.(a)** This numerical question was based on 'Marginal costing' requiring calculation of minimum number of units to be sold to maintain the same per unit profit. Most of the examinees could not calculate variable cost per unit, fixed cost and hence failed to proceed further to calculate minimum number of units to be sold. Overall performance of the examinees was **Below Average**.

**(b)** This numerical question was based on 'Joint products and by products' requiring calculation of profit/loss for each product based on given data, apportionment of joint cost to the respective products using Net realizable value method and also advising on whether the largest selling product is profitable or loss making. Most of the examinees were not able to calculate the profits based on NRV method. Overall performance of the examinees was **Above Average**.

**(c)** This numerical question was based on 'Employee cost'. Question requires calculation of employee turnover rate using replacement method and flux method. Most of the examinees answered on the correct lines and the overall performance of the examinees was **Good**.

**Question 2.(a)** In this question examinees were required to prepare 'Cost Sheet', highlighting the various elements of cost, and examining examinees' understanding of the weighted average method for apportionment of labour cost to each product. A significant number of examinees failed to approach the question correctly, which was the primary reason for the **Below Average** performance.

**(b)** This numerical question was based on 'Employee Cost' requiring computation of the effective hourly rate of earnings, savings in direct labour cost per unit for the company and improvement in labour efficiency following the implementation of the Halsey and Rowan incentive schemes. Many examinees were unable to align their recommendations with the specific requirement of ensuring a 15% increase in workers' earnings as required in the question. Instead, they based their selection of the scheme primarily on

the potential savings for the company. As a result, **Average** performance was observed.

**Question 3.(a)** This numerical question was based on 'Activity Based costing' which required calculation of costs allocated to each product from each activity and cost of unused capacity for each activity. Most of the examinees answered on the correct line and the overall performance was **Good**.

**(b)** This numerical question was based on 'Service Costing' requiring calculation of ticket prices of three types of seats. Some examinees failed to align all the parameters required in the question and could not apply the concept of equivalent units correctly. Overall performance of the examinees was **Average**.

**Question 4.(a)** This numerical question was based on 'Cost accounting system' which required preparation of reconciliation statement taking net loss as per cost accounts as base and find out the excess material consumption. Overall performance of the examinees was **Good**.

**(b)** This numerical question was based on 'Standard Costing' which required the calculation of Variable overhead variance, Fixed overhead variance, Fixed overhead expenditure variance, Fixed overhead volume variance and Fixed overhead calendar variance. Overall performance of the examinees was **Above Average**.

**Question 5.(a)** This numerical question was based on 'Process and operation costing' requiring calculation of Equivalent units of production for material and moulding cost and the cost of closing work-in-process (WIP) and finished products. Overall performance of the examinees was **Average**.

**(b)** This theoretical question was based on 'Unit and batch costing' requiring examinees to distinguish between 'Job costing and Batch Costing'. Overall performance of the examinees was **Average**.

**(c)** This question was based on 'Budget and Budgetary Control' which required the preparation of flexible budget estimating the total cost for a trip for various levels and computing the average cost per examinee at each level. Overall performance of the examinees was **Average**.

**Question 6.(a)** This theoretical question was based on 'Introduction to Cost and Management Accounting' requiring examinees to identify the type of cost and state the relevant / non-relevant in managerial decision making for the given independent situations. Overall performance of the examinees was **Below Average**.

**(b)** This theoretical question was based on 'Activity Based Costing' requiring examinees to classify the cost pool as per cost hierarchy i.e. unit level, batch level, product level and facility level. Overall performance of the examinees was **Below Average**.

**(c)** This theoretical question was based on 'Process and Operation Costing' requiring examinees to describe the methods for valuation of work-in-process followed in Process costing. Overall performance of the examinees was **Poor**.

**Or**

This theoretical question was based on 'Introduction to Cost and Management Accounting' requiring examinee to contemplate the list of functions given and identify each of them with the most relevant scope of Cost Accounting. Overall performance of the examinees was **Poor**.

## PAPER – 5: AUDITING AND ETHICS

### Specific Comments

**Question 1.(a) Meaning of term "available" and way of selecting the most appropriate audit evidence when testing the accuracy of any assertion to form any opinion:** Many examinees failed to understand the requirement of the question and could not explain the meaning of the term 'Available' and were unable to state the reasoning for the correct conclusion given. They also failed to mention monthly accounts statement or balance confirmation as evidence for verification of assertion about book debts. In the second part, they were unable to explain that the most appropriate evidence for evaluating an assertion can be obtained by expert knowledge and experience, prior knowledge of what evidence is reasonably available, etc.

**(b) Types of controls in an automated environment and its identification:** Most of the examinees could not correctly categorise the controls in an

automated environment. However, they were able to identify the correct type of controls against the given areas.

**(c) Meaning and Significance of Completion Memorandum and Assembly of the Final Audit file:** Majority of the examinees correctly mentioned the meaning of Completion Memorandum but were unable to explain the significance of it properly.

**Question 2.(a) Engagement and Quality Control Standards and their purpose:** Many examinees had fair knowledge about the names of the Engagement and Quality Control Standards, however, they could not explain them correctly. Further majority of the examinees were unable to explain the purpose of issue of those standards.

**(c) Reporting responsibility of the Auditor under Para 3 Clause (x) of CARO 2020:** Majority of the examinees lacked correct knowledge of reporting responsibility of the auditor under the above-mentioned clause. Some examinees have explained the reporting requirement in the case of borrowing on loan taken under clause (ix).

**Answer 3.(a) Audit procedures for verification of "measurement" assertion for sales:** Most of the examinees wrote about the verification process of sales in general and the points with respect to carrying out test of controls for checking the effectiveness of internal control over sales and failed to understand the requirement of the question related to the verification for the measurement assertion for sales.

**Answer 4.(c) Test of controls for effectiveness of internal control over sales as a part of debtor's audit procedures:** Except a few, most of the examinees have lacked the knowledge of the topic and have written general answers with respect to vouching of debtors. Examinees focused on the test of details rather than the test of controls which was required in the question.

**Answer 5.(b) Other Written Representations:** Majority of the examinee answered the question assuming it to be written representations that the management needs to provide but did not mention the correct points as regards to "Other Representations which may supplement but do not form part of the written representations relating to management's responsibilities and preparation of financial statements.

**Answer 6.(b) Areas to be covered in verifying the internal control mechanism of Multiplex Cinema:** Many examinees explained the internal control mechanism of an organisation, rather than answering the specific context of a cinema hall as required by the question.

**(c) Disclosures regarding CSR activities made in "Additional Information" to Notes to Account :** A few examinees have explained the audit procedures instead of writing about the verification of the disclosure requirements.

**PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT**  
**SECTION A – FINANCIAL MANAGEMENT**

**Specific Comments**

**Question 1.(a)** This was a numerical question based on "Ratio Analysis" requiring preparation of Balance Sheet. Overall performance was **Above Average** .

**(b)** This was a numerical question based on "Dividend Decision" with some requirement's based on Gordon's Model. The overall performance of the examinees was **Poor** in this question.

**(c)** This was a numerical question based on "Leverage" requiring preparation of Income Statement and some other requirements. The performance of the examinees was **Below Average**.

**Question 2.(a)** This was a numerical question based on "cost of capital " requiring calculation of cost of equity share capital, cost of preference shares, cost of debentures and Interest rate on bank loan. The overall performance of the examinees was **Below Average**.

**(b)** This was a numerical question based on "Dividend Decision" requiring examinees to calculate the minimum and maximum share price using Walter's Model. The performance of the examinees was **Above Average**.

**Question 3.(a)** This was a numerical question based on "Investment Decision." which required examinees to calculate the Initial Investment, Net Present Value (NPV), Profitability Index (PI), Discounted payback and MIRR. Overall performance was **Average**.

(b) This was a numerical question on "Capital Structure" as per MM Approach. The performance of the examinees was **Below Average**.

**Question 4.(a)** This was a theoretical question on "Introduction to Financial Management" to explain the agency cost. The performance of the examinees was **Poor**.

(b) This was a theoretical question on "Type of Financing" to explain the features of bridge financing. The performance of the examinees was **Average**.

(c) This was a theoretical question on "Capital Structure" related to Pecking Order theory. The performance of the examinees was **Average**.

**OR**

This was a theoretical question based on "Analysis of Combined Leverage". The question was attempted by very few examinees. The performance of the examinees who attempted the question was **Above Average**.

## SECTION – B: STRATEGIC MANAGEMENT

### Specific Comments

**Question 5.(a)** The overall performance was average. Many examinees were unable to correctly identify the strategic intent. As a result, their responses lacked appropriate explanation of its meaning, importance and essential elements.

(b) The performance was poor. Most of the examinees either did not attempt the question or incorrectly identified the strategy in question. Consequently, the second part of the response was misdirected and failed to meet the expectations.

(c) The performance was average. Examinees were generally able to identify retrenchment strategies correctly and adequately explained the rationale for adopting the divestment strategy.

**Question 6.(a)** The performance was below average. Due to inadequate conceptual understanding, most examinees either did not attempt the question or failed to properly explain the importance of values. Their responses lacked relevant examples and did not clearly differentiate values from intent.

**(b)** The performance was good. Most examinees could correctly explain the key characteristics of resources and capabilities, demonstrating conceptual clarity.

**Question 7.(a)** The performance was above average. Many examinees were able to correctly identify and explain the support activities in the value chain, even though some lacked depth in understanding the overall concept.

**(b)** The performance was above average. Examinees generally demonstrated a sound understanding of the Differentiation Strategy and were able to explain its major bases and supporting strategies effectively.

**Question 8.(a)** The performance was below average. Due to lack of conceptual clarity, most examinees struggled to correctly explain the meaning and role of Key Success Factors in business.

**(b)** The overall performance was below average. In the first option, examinees displayed poor understanding of the expansion strategy, resulting in inadequate and incomplete responses. However, in the second option, while a few examinees referred to leadership roles in strategy execution, most were unable to interpret the statement correctly, leading to weak and poorly structured responses.